Chapter Thirty-One

State of Savings and Wealth

Savings

Savings Finance Investments

Investments are broadly of two kinds: creation of new assets and purchase of existing assets. Investment in new assets builds the productive capacity of the country; purchase of existing assets does not add to productive capacity but it might raise the value of the assets. The national savings deployed to make new investments amount to capital formation, which adds to the national capacity of goods and services for consumption or investment, thereby increasing GDP. Savings invested in purchasing existing assets do not add to GDP. Assets created and accumulated form the wealth of a nation, which is usually measured in monetary terms. The wealth of a nation can increase by creation of fresh assets as well as increased valuation of existing assets. Increase in wealth may not necessarily indicate an increase in the productive capacity of a nation.

Savings are mostly made by households and corporations. Governments are net dissavers, almost invariably in developing countries. Households, however, usually do not make productive investments directly. They invest in bank deposits, government deposits, insurance products, currency, gold, listed shares and occasionally in primary issuances and new firms. Many households do set up proprietary and partnership firms that undertake productive investments, but the majority of their investments go in the portfolio of assets: deposits, shares, bonds, currency and gold.